

factors in the context of its long-term vision and macroeconomic exposure. Metrics like price to earnings, price to sales, book value, and return on equity are derived through fundamental analysis to determine the value of a company and compare it with its peers.

Fundamental analysis can be a time-consuming process that requires access to the latest data not only for a company but also as it relates to an industry and the economy overall. Many times, an investor and even a financial advisor will depend on analysts to crunch these numbers to provide insights into relevant assets. In the traditional capital markets, an entire industry is based on this process, known as sell-side research. Currently, there is no such thing as sell-side research for cryptoassets, and this will require innovative investors to scour through the details on their own or rely on recognized thought leaders in the space. We'll do our best to arm investors with the resources to do this analysis so they aren't scared away from the effort.

As it pertains to evaluating cryptoassets, the process of conducting fundamental analysis is different from stocks because cryptoassets are not companies. The assets may have been created by a company or group of individuals, and an understanding of that company or those individuals is vital, but the cryptoassets themselves should be valued more as commodities, with markets priced by the balance of supply and demand.

In this chapter we discuss applying fundamental analysis to the founding characteristics of a cryptoasset. This includes